RBI MASTER DIRECTION - KNOW YOUR CUSTOMER (KYC) NORMS

RESERVE BANK OF INDIA

Circular No: RBI/2025-26/001

Dated: February 7, 2025

1. SCOPE AND APPLICABILITY

1.1 These directions shall apply to all Non-Banking Financial Companies (NBFCs) registered with RBI.

1.2 All NBFCs must ensure strict compliance with KYC requirements at the time of customer onboarding.

2. CUSTOMER IDENTIFICATION REQUIREMENTS

2.1 NBFCs must obtain and verify the following documents:

a) Officially Valid Document (OVD) - Aadhaar, PAN, Passport, Driving License, or Voter ID

b) Proof of address within last 3 months

c) Recent photograph

2.2 Video-based Customer Identification Process (V-CIP) is permitted as per RBI guidelines.

2.3 Face authentication or OTP-based e-KYC through UIDAI is acceptable.

3. CUSTOMER DUE DILIGENCE (CDD)

3.1 NBFCs must conduct Enhanced Due Diligence (EDD) for:

a) High Net Worth Individuals with transactions exceeding ■1 crore

b) Politically Exposed Persons (PEPs)

c) Customers from high-risk countries as per FATF list

3.2 Simplified Due Diligence (SDD) may be applied for low-risk customers with account balance below ■50,000.

4. PERIODIC UPDATION

4.1 KYC information must be updated every 2 years for medium-risk customers.

4.2 For high-risk customers, KYC must be updated annually.

4.3 NBFCs must send reminders to customers 30 days before KYC expiry.

5. RECORD KEEPING

5.1 All KYC documents must be retained for 5 years after account closure.

5.2 Transaction records must be maintained for 5 years.

5.3 Records must be easily retrievable during RBI inspection or FIU-IND audit.

6. COMPLIANCE AND PENALTIES

6.1 Non-compliance with KYC norms may attract monetary penalties up to ■1 lakh per day.

6.2 Serious violations may lead to cancellation of NBFC registration.

6.3 All KYC compliance reports must be submitted to RBI on a quarterly basis.

This circular comes into effect from April 1, 2025.

All NBFCs are required to ensure full compliance within 90 days from the date of this circular.